

ARMCHAIR FARMING HARVEST PROFITS WITHOUT SWINGING A HOE

Two summers ago, I visited Regina, the capital of Saskatchewan. I've been writing about investing in farmland there since 2008. I showed readers how to invest in Assiniboia's farmland partnership. The price was about \$26 per unit. Today, it's about \$58 per unit — plus investors have received \$2.66 per unit in distributions. All-in, that's a 140% total return.

This new idea could be even better...

In fact, a friend of mine and reader — a teacher — invested in the new company in November. It looks like he will about double his money before the summer. This new company will be public soon. It could generate returns of 20–40% annually for its investors, with fat 50% cash flow margins. And it has a lot of room to grow.

Brad Farquhar is the co-founder of Assiniboia Capital. He is our man in Saskatchewan. When I visited Regina, Brad drove me around and showed me several farms and I got a feel for what it's like there and what makes it all work.

At the time, Brad's firm was in the second year of running a partnership created to invest in canola farming. The idea was to supply farmers with their "inputs" like fertilizer and whatever else in return for a set percentage of the crops. That all ended in 2012, when Brad and his business partner Doug Emsley had an even better idea.

In November, they launched Input Capital Corp. It would provide financing to canola farmers in exchange for a fixed tonnage (not percentage) of that farmer's canola crop. You may recognize this as a streaming deal.

The most famous streaming companies are those related to mining. Silver Wheaton, Franco-Nevada and Royal Gold are three of the largest such companies. They don't do any mining themselves. Someone else owns the mine and runs it. The streaming companies usually get a percentage of the gold and silver that comes out of the mines they've invested in at some fixed price. Input Capital is similar.

So say there is a farmer that wants to expand. Annual inputs for fertilizers and the like can set them back \$200 per acre. For a 4,000-acre farm, that's \$800,000 right there. Equipment could be another \$1.3 million for this farm. The farmer doesn't have that kind of money. Enter Input Capital. It can give the farmer an upfront payment for these things in exchange for a crop interest.

It works for the farmer on many levels. One, the upfront payment allows him to save by buying his fertilizer off peak season. This alone can bring a savings of \$25–30 per acre, cutting fertilizer costs by 20–25%. Second, the money also allows the farmer to improve the productivity of his farm by purchasing precision equipment he wouldn't be able to afford otherwise. Input Capital targets a 50% increase in average yield. So he gets a lot more out of his land. These are just a couple material advantages.

It works for Input Capital too because Input sets its fixed tonnage at a level where it will make an attractive return. Input gets a set tonnage and makes money depending

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on the pricing of the canola. Input uses crop insurance to cover its downside. Currently, canola trades for over \$600 per tonne. Input would make 20% annual returns at just \$500 per tonne. Even at \$450 per tonne, Input's rate of return on its investment would be over 15%.

Streaming companies are great businesses. They generate lots of cash with low amounts of capital and do so with less risk than the underlying businesses they invest in. Thus, the stock market values such firms highly. Each of the big streaming companies I mentioned earlier is worth billions. They trade for 18 times 2013 cash flow guesses. Input Capital is set up along the same lines... except it is much earlier in the development curve. In 2012, the company raised \$25 million to start.

Today, Input has eight streaming agreements in place at an average investment of \$1.75 million. (The agreements are for six-year terms.) The company is now looking to raise \$100 million through a private placement. If you are an accredited investor, you may participate. Visit the website at inputcapital.com and write for details. If you are not accredited, you will still have a chance. The aim is to go public. Once that happens, anybody can buy it.

Input also has a long runway. Canada is the largest canola exporter in the world. It made up 72% of the export market last year. Most of it wound up in China and Japan. Over the last five years, exports to China and Japan have grown at 333% and 21% clips, respectively.

There are over 20 million seeded acres in Western Canada devoted to canola. That's over 52,000 farmers. Brad estimates that Input's addressable market is about 20,000 farms. Input needs only about 75 of them to sign streaming agreements to put that \$100 million to work.

I love this idea. You are investing with proven owner-operators who know the market. And the upside is tremendous. Even at half the valuation of the public streaming companies — and assuming Input invests the \$100 million it is raising now — Input Capital could be worth \$200 million. Once public, it could be one to sock away in the old coffee can and forget about.

Watch this space as I keep an eye on developments here and report back.

BETTING ON BILLIONAIRES

"When my mother asked me what I was doing these days, I explained to her this way," Matt Houk told me. "I said, 'OK, Mom, what if Warren Buffett approached

you and said he'd manage your money [for a small fee] — would you let him?'

"Of course.'

"What about Carl Icahn?'

"Yes.'

"What about Bill Ackman, David Einhorn or the Tisch family at Lowes? Would you let them do it for that fee?'

"Yes, absolutely."

And that's what this fund is. People manage your money for a very reasonable fee and you get access to private equity-type talent."

Matt Houk is the co-manager of the Virtus Wealth Masters Fund along with Murray Stahl. (I recommended it in my last letter to you. More on the various tickers and ways to invest down below.) The fund is based on a simple idea: Invest with owner-operators.

"Odd that there wasn't a product like this before," Matt explained. "It's such a simple concept. When you put your money in a company, you're entrusting it to that chairperson, that CEO, that board. It would be nice to have them invested alongside you."

The idea is a core part of the investment philosophy of this letter. I asked Matt how the idea for the fund came about.

"Murray and I were batting ideas around one day and we said, 'Wouldn't it be cool if you could invest in some of these wealth lists like the Forbes 400? I wonder what it would look like.' And that's kind of how we got started."

The Wealth Index was the result and is what the fund seeks to mimic. To get in the index, owner-operators must have assets in excess of \$500 million and ownership in excess of \$100 million. Applying this filter leaves 148 owner-operators with proven track records. Building this list was not easy — and perhaps explains the fund's uniqueness.

Usually, people create funds and indexes around easily quantifiable data points, such as by price-earnings ratio, or sector or country. These kinds of things you can easily download from any decent data provider. The Wealth Index was more difficult to put together.

"It took quite a bit of time," Matt said. "We were actually in the New York Public Library going through microfiche looking for wealthy individuals going back to the early '80s. And then every quarter, we took time to comb through SEC filings, proxies and Form 4s. It was very manually intensive.

"The operator is very important," Matt continued. "In this age of overquantifying everything, we lose sight of the fact that it really comes down to the people running the business. It's not about the P/E or the historic earnings growth necessarily."

I agreed. Three of the stocks I've recommended (CVA, HHC and GLRE) are in the Wealth Index. The ones that aren't in index aren't big enough yet. But Matt told me there may soon be an index to capture these smaller owner-operators.

"We've actually toyed around with the idea of a smaller-cap version of the Wealth Index to capture those individuals on the up and up, as opposed to those individuals that have already made it," Matt said. "Something like a Berkshire Hathaway is appealing... But it is mature. And Warren Buffett is coming to the end of his career. Are his incentives the same as an Einhorn or an Ackman? No, they're not. So I think a smaller version could be interesting."

We turned to discussing some of the behaviors of the owner-operators. For example, their penchant for making deals when others are afraid. Matt elaborated:

"I think this is one of the more important elements of the companies in the index. The people running these companies are in control. So when we experience a drawdown like 2008, that's precisely when they are going to take on more debt and deploy cash. Because the opportunities are so rich. That's when you want to be spending money. That's when you want to be investing. Compare this behavior to the agent-operated companies. They loathe spending cash or taking on debt in a highly volatile environment. An agent-operator is so fearful about how that will be perceived by the public and the board and how it may impact his or her career prospects. They just sit there on mountains of cash. And you can see that. There are so many articles out there right now about how companies are hoarding cash at such a high level."

The owner-operators are nothing if not opportunistic. We talked about a few examples, such as Carl Icahn, the famous dealmaker. There are a variety of Icahn-led companies in the index. American Railcar, CVR Energy and Chesapeake are three.

"When you study somebody like Carl Icahn," Matt said, "it becomes very clear that he's using these companies like chess pieces." Let's just look at American Railcar and CVR Energy, for instance. In the oil-rich Bakken, there is a

shortage of pipeline capacity to get it to the refineries, such as CVR. One of the only options is to put it on rail cars, and that's what American Railcar makes. "It's interesting to see him play that game," Matt said. "He's now involved in Chesapeake. So there's clearly a strategic element to everything he's doing."

Owner-operators are also tax efficient. Here Matt mentioned John Malone at Liberty Media. "Look at his career," Matt said. "He hates paying taxes. What he tries to do is minimize pretax income, so he can minimize his tax bill. But if you look at Liberty Media, it looks expensive on a price-earnings basis because he's trying to reduce the E. If you approach it from that traditional point of view, you miss the point."

What's also interesting about these owner-operators is that they are underrepresented in the S&P 500 index — a widely quoted index meant to stand for the market as a whole. As Matt pointed out, the S&P 500 uses a float-adjusted market cap to determine the weight in the index. Meaning, the S&P counts only what is not in the hands of insiders.

"It's the free-float market cap," Matt explains. "So if somebody like Warren Buffett were buying more Berkshire Hathaway, the weighting in the S&P 500 would go down. It's precisely counter to what you would want to happen. If the person running the business were buying more stock, then you want the weight to go up, if anything. The S&P is doing precisely the opposite, which is ridiculous."

Conversely, if an insider sold stocks, then its weight in the S&P 500 would go up. Again, completely opposite of what you'd want. Contra the S&P 500, the Wealth Index (and hence the Wealth Masters Fund) is looking for companies with a significant insider.

The proof is in the pudding, as the saying goes. And performance of the index has been top-notch. It's blown the doors off the S&P 500 — by about 2.7% per year for 20 years. The Wealth Masters Fund is a way for you to invest in this strategy.

Besides, there is academic evidence for the Wealth Index idea.

"When we were getting very close to launching the index," Matt says, "*The Journal of Index Investing* published a piece titled 'The Rich Get Richer and So Can You: Investing in a Billionaire's Index.' It described our idea very closely. We were startled and thought somebody was going to scoop us. On the other hand, it was nice to see an independent third

party validate the concept.” (For more on this paper, see the sidebar “Wealth Begets Wealth.”)

We talked about the composition of the index. The highest weight (37%) was in consumer discretionary stocks — such as AutoNation, Carnival, Hyatt Hotels or Wendy’s. There is hardly any weight in mining, which ought to tell you something. There are many financial and real estate companies. BOK Financial, for example, is a bank run by George Kaiser in Oklahoma. “That’s one of the best run banks in history,” Matt said. “We’re not talking about a Citi or JP Morgan.” The insurer W.R. Berkley is another great one. “Greenlight RE — run by Einhorn,” Matt added. “That’s a financial, but it’s really David Einhorn’s vehicle.”

You can find all the names — a kind of ready-made watch list — here: https://www.virtus.com/vsitemanager/Upload/Docs/Wealth_Masters_Holdings_Monthly.PDF

The index also harbors a variety of insiders and talents. Families that have a long history of creating value — like the Marriott family or the Pritzker family. And investor types — like Nelson Peltz (now involved in Wendy’s), John Malone, Icahn, Ackman, Einhorn, Eddie Lampert and others.

“For the average person,” Matt summed up, “getting access to investors of that quality is not easy. You can get it only if you go through a hedge fund or a private equity partnership. And you need to be at a high standard of living to qualify. But this is an indirect way to access that talent. And you can have Nelson Peltz invest your money. You can have Carl Icahn and Warren Buffett.”

The Virtus Wealth Masters Fund comes in three flavors: VWMCX, VWMAX and VWMIX. The last one — the “I” — requires a minimum \$100,000 investment. The other two require a \$2,500 investment. The VWMAX shares include a 5.75% upfront fee. The VWMCX fund does not, but the annual expenses are a bit higher. I recommend the “I” shares if you can swing it. If not, go with the “C” shares. The funds are still new, launched only on Sept 5. So they may not be available yet on all platforms. Check with your broker if you have any problems using these ticker symbols.

I recommend the fund. It is a great one-stop way to invest in owner-operators and supplement your individual holdings in C&C stocks.

KIDNAPPERS, TAX COLLECTORS AND OUR NEW BUY

William Lewis Moody was a University of Virginia-trained lawyer and Confederate war hero. In 1866, he

Wealth Begets Wealth

“Most wealth remains hidden in private financial arrangements undetected by curious onlookers,” write professors Joel Shulman and Erik Noyes. “The public will probably never know the secrets behind this money.”

But not all such wealth lies hidden. As we saw with Matt Houk, some of the world’s wealthiest own and operate public companies. And we can track how they do — which is what Shulman and Noyes did.

Not surprisingly, they found that, on average, their stocks did well: “We conclude that, overall... a portfolio or index of publicly traded stocks represented by the world’s wealthiest individuals offers a good deal.”

The professors’ Billionaires Index — which is very close to the Wealth Masters Index — whooped its peers. As a result, they put forward the idea of a buying a basket of such stocks. Again, you can now do this by buying the Wealth Masters Fund.

The professors don’t spend much time thinking about why such companies outperform. But they do give a few clues. One of them is that the rich have access to networks — through social and business connections — that give them better information. It helps them keep their edge over less connected peers.

In my talk with Matt Houk, he mentioned this aspect, too. He used Steven Udvar-Házy, the CEO of Air Lease Corp, as an example. Udvar-Házy is the father of the aircraft leasing business. He has great connections in the business. He can pick up a phone and reach almost anyone. That fact gives Air Lease an advantage.

It’s an advantage that doesn’t show up in a financial statement or a price-earnings ratio. Yet it is as real as the ground you walk on. The professors list many other attributes of success: low costs, modest borrowings, profits through economic cycles, low turnover among senior executives and an attention to keeping and providing incentives to all stakeholders. “The combined effect,” the professors write, “when done well, provides explosive wealth creation for all organization stakeholders.”

The exact mix of things may be a mystery, patched together after the fact to explain a result. The most important idea, though, is that the people calling the shots have personal capital at risk. That’s the unique attribute that runs through all these stories. That’s the secret behind the money.

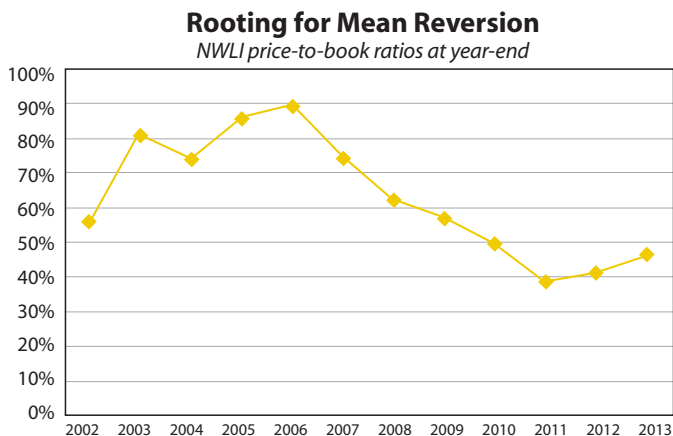
took off for Galveston, Texas, to seek his fortune. The Colonel, as folks called him, did well enough. But his son, W.L. Moody Jr., would make the Moody family one of the wealthiest and most connected in Texas.

The family motto is “Publicity brings only kidnappers and tax collectors.” Moody’s descendants seem to continue to follow that creed, as you’ll see. Robert L. Moody, the

great-grandson of the 19th-century adventurer, founded **National Western Life Insurance (NWLI:nasdaq)** in 1956. The family still runs it and owns a chunk of it. Robert Moody (age 76) is the chairman and CEO. His son Ross (50) is president and COO.

The track record is good and the price of the shares today is dirt-cheap. *In fact, a reading of the footnotes yields a large treasure that does not show up in the usual statistics.*

First, let's take a casual look at the stats. Price-to-book value (PBV) is the thing to watch. It's been falling, which means investors pay less and less to own more and more. (You can think of book value as rough net asset value. For a financial firm, it is a smudged look at what the company is worth.) Today, investors can buy this stock for just 46% of book value. See below.



The average PBV for the firm is about 63%. Thus, just a simple move to the mean would translate into a 36% gain from today's price. Arguably, that's still cheap. For the fun of it, if you slapped a 90% PBV on this thing — the peak valuation in 2006 — it would bring a return of 95%.

However, let us get to the footnotes in the 2012 10-K, filed on March 18 of this year. A life insurance company is a big pile of bonds. Most insurance companies treat their bonds as “held for sale.” Accounting rules mean that such bonds must be “marked to market.” That is, if the price rises, the firm can write up the value of the bonds — hence boosting book value per share. (And vice versa.)

Well, NWLI treats most of its bonds as “held for maturity.” Accounting rules are different here. NWLI carries these bonds on the books at cost. It marks them down only if they fall in value. This is a much more conservative way to do it.

With interest rates falling, though, NWLI has amassed a huge stash of unrealized gains. At year-end, it held \$5.9

billion worth of bonds in the “held to maturity” category. Yet these bonds had a market value of \$6.5 billion. *The difference — spread over the 3.6 million shares outstanding — comes to \$150 in additional book value per share.*

So adjusted book value per share — including these hidden gains — is \$533 per share! At \$177 per share today, you pay just 33 cents on the dollar. And that book value grows as earnings roll in. Last year, the company earned \$26 per share and book value rose 9%. Over the last decade, NWLI has grown book value at a 9% clip on average.

Why so cheap? Let's look at the business.

National Western is a life insurance company based in Austin, Texas. It does business in 49 states plus D.C. and the U.S. territories. It also has an international business with which it focuses on upper-income foreign nationals. It caters to people looking for safety from economic and political turmoil at home. The international business is less competitive than the U.S. business. It's growing faster, and NWLI enjoys better profit margins.

Still, life insurance is a competitive business and it suffers in periods of low interest rates. Low interest rates make it more difficult to make good on annuity contracts that guarantee a fixed return. In fact, in the industry, some of these are probably underwater. For NWLI, this is less of an issue, since it has a large long-term bond portfolio (as we discussed above). Nonetheless, the industry earns low returns on its capital. Hence, life insurance stocks typically trade for only 70% of book or so.

This won't last forever. At some point, rates will tick up and profitability will expand.

I like NWLI because of its safety-first mentality. In the 2011 annual letter (2012 is not out yet as I wrote this), Robert and Ross Moody write that they are “willing to hold excess levels of capital, which may earn lesser returns” than if they were more aggressive. “We do not pay much heed to return on equity,” they write, since their focus is on keeping lots of capital.

In reading their letter, you get the sense these guys are not rainbows-and-unicorns types. They are suitably fearful and cautious. They are also principled and disciplined. They've been plodding away at this game for a very long time, after all.

Part of the reason NWLI is so cheap too is because of its crusty 76-year-old chairman. He seems unwilling to pursue the obvious shareholder-friendly action — such as using that excess capital to buy back a whole bunch of stock on the

cheap. Since he controls it, there is no chance of a buyout or an activist coming by to rattle the monkey cage. NWLI continues in its little hermetically sealed world.

But then again, so what? As is, NWLI's track record is pretty good. Over the last 20 years, book value has grown about 12% per year. NWLI skated through the crisis in 2008 with only a minor scrape — a 3% drop in book value that year. As I pointed out, even a minor move toward NWLI's own average valuation would bring nice gains. Hold onto this for three years and let book value grow and the valuation narrow and we could safely double our money.

And we have a potential catalyst in that maybe, someday, the old man will have a change of heart. Or he'll retire and his son Ross will take the helm and brings NWLI out of its Great Depression shell. The returns then could get explosive.

Let's see how NWLI meets CODE.

Cheap? Yes! This is the cheapest stock we now own based on the numbers. See the above discussion on book value.

Owner-operators? Yes, we have them. The Moody family owns a third of the stock and has proven good, if reclusive, stewards. You are a junior partner here, as the Moodys have control.

Disclosures? Remember the family motto. You won't find Robert or Ross Moody on CNBC. You won't find them on the conference circuit or hosting calls for Wall Street analysts. They say very little. And nobody covers this stock. But the public disclosures are fine. Much like our investment in FCNCA, success here is transparent and boils down to a few key metrics.

Excellent financial condition? NWLI has a super-strong balance sheet with lots of capital. No worries here.

It is never easy to find stocks that meet our tough CODE standards. It has been extremely difficult in the last year as the market presses to new highs. NWLI meets these hurdles and is a safe place to be. Given its long history and excess capital, the odds of losing money here are low.

Recommendation: Buy National Western Life Insurance (NWLI:nasdaq) up to \$195 per share. This is half of the stated book value at the end of the second quarter — which is superconservative. In the last 10 years, the stock has closed below that at year-end only twice. Our downside is limited. The stock is not all that liquid. So use a limit order and pay no more than \$195 per share. Be patient and you should be able to get your shares.

MRS. BORSODI'S TOMATOES — USEFUL WISDOM

In the summer of 1920, Ralph Borsodi stumbled on a life-changing insight — and one that we can apply today. It all began when his wife canned tomatoes for winter use. Ralph, having “an incurable bent for economics,” wondered if it paid — or if they were better off just buying canned tomatoes from the store. He sought to find out.

The Borsodis spent many evenings carefully factoring in all the costs of canning tomatoes. It was more difficult than it sounded, as Borsodi relates in his book *Flight From the City* (1933). Eventually, they had an answer. “When we finally made the comparison,” he wrote, “the cost of the homemade product was between 20% and 30% lower than the price of the factory-made merchandise. The result astonished me.”

How could little Mrs. Borsodi, working alone, produce canned goods at a price lower than the great Campbell Soup Co.? The latter had labor-saving machines. It had massive economies of scale. It had smart management. After much study, Ralph began to put the pieces together. “Slowly, I evolved an explanation of the paradox,” as he puts it:

Transportation, warehousing, advertising, salesmanship, wholesaling, retailing — all these aspects of distribution cost more than the whole cost of fabricating the goods themselves. Less than one-third of what the consumer pays when actually buying goods at retail is paid for the raw materials and costs of manufacturing finished commodities.

From that simple insight, a whole new way of life opened up for Ralph. And it is something to think about today.

To back up for a minute, I should tell you a bit about Ralph Borsodi (1888–1977). He was a great libertarian in the American tradition of Thomas Jefferson. He was an economic theorist and important figure in the back-to-the-land movement. Borsodi believed — and set out to prove — that the household could be a productive and creative institution.

In *Flight From the City*, Borsodi writes about how his wife and two young sons were renters in New York City. They bought their food and other goods from retail stores. Borsodi had a white-collar job in the advertising industry.

But the insecurity of it all gnawed at him. Borsodi knew he was dependent on that income from his job. Then in 1920, his fears became reality. There was a housing shortage in NYC. The landlord sold the house the Borsodis rented. Finding another place to rent was expensive. As later mayoral

candidate Jimmy McMillan would put it, the rent was too damn high.

So they moved out in the country, about three hours from the city. They bought a place with a small frame house, an old barn and a chicken coop. It also had seven acres of land — hence, they named it “Sevenacres.”

Ralph wanted a degree of economic freedom he didn’t have before. He would still work for a “modest salary.” But if it went away, he wanted the freedom to continue almost indefinitely without it.

To do this, Borsodi aimed to make more at home. Much of the rest of the book is an account of the Borsodis’ efforts at raising chickens and goats and growing vegetables and keeping bees. The Borsodi homestead produced its own eggs, milk, butter and honey. They also would weave blankets, carpets and draperies; make some of their own clothing; grind flour, corn meal and breakfast cereals.

Borsodi shares detailed records of the expenses to show how cheap it was for his family to do these things for themselves compared with buying them from the Campbell Soups of the world. His goal was not autarky. He wanted not to have to rely so heavily on an uncertain salary or the whim of a landlord or the great machinery of modern industry. Nor did he want to rely on the government.

In *This Ugly Civilization* (1929), Borsodi makes his views on this point clear: “History, which is one long record of the imbecilities and the injustices of governments, furnishes us good grounds for seeking some alternative solution for them.”

Borsodi’s do-it-yourself manifesto came out when the country was “most deliriously celebrating the great boom of which Henry Ford was the prophet and mass production the gospel. Virtually no one wanted to be told that the whole industrialized world was mistaken; that there was another way and a better way of making a living and of providing ourselves with our hearts’ desires than through organized, integrated, centralized labor.” When the Great Depression hit, though, it was a whole another story.

And this, really, is the nut of the investment insight I wanted to share with you. No, I’m not recommending you head off to create your own homestead to prepare for a depression. However, I do have a soft spot for the Jeffersonian ideals Borsodi personified.

I recently picked up a copy of Kevin Carson’s *The Homebrew Industrial Revolution: A Low-Overhead Manifesto*. There is a lot of good stuff in this book. It focuses on how the modern statist world raises the cost of living. And it

shows an emerging alternative economy that reduces the need for a continuing (and high) income stream to live well.

Reading Carson, who quotes Borsodi extensively, made me want to read Borsodi in the original. (You can find *Flight From the City* and *This Ugly Civilization* free online. Both are easy reads.) Anyway, Carson’s distilled wisdom from Borsodi is worth sharing:

Contra conventional finance gurus like Suze Orman, who recommend investments like lifetime cost averaging of stock purchases, contributing to a 401(k) up to the employer’s maximum matching contribution, etc., the most sensible genuine investment for the average person is capital investment in reducing his need for outside income.

Among these investments is the purchase of a home — and paying it off as quickly as possible. I know that with low interest rates, this may seem foolish. But interest costs are interest costs. Use a mortgage to buy a rental (or two). The rental also provides an alternative income stream. You own your own place free and clear.

I think Borsodi’s story also touches on something timeless. It destroys the notion that bigness leads to efficiency. People often assume giant corporations are efficient and hard to beat. They often are not. Borsodi exposes the hidden costs of large-scale production. He shows the wisdom in locally sourced goods.

As Borsodi found out, his wife could can tomatoes cheaper than Campbell Soup — a counterintuitive, but handy insight. It also speaks to our commitment to small, owner-operated firms against the absentee owners of the giants of industry. Our smaller, agile and more resilient firms are the egg-snatchers in the dinosaurs’ nests.

I know Borsodi’s story may be one of the stranger ones I’ve written about to you. But I think the message is important. (Besides, the Borsodi tale struck me as immensely fascinating in its own right.)

As I finish this letter, I’m about to head for Las Vegas. I’ll be there for the Value Investing Congress, where I am speaking. While in Vegas, I plan to visit Summerlin, which is one of Howard Hughes Corp.’s master planned communities. Look for my report in your next letter.

Sincerely,



Chris Mayer

OPEN PORTFOLIO POSITIONS

CAPITAL & CRISIS PORTFOLIO

Prices as of 05/01/13

Company/Symbol	Date Rec.	Rec. Price	Current Price	Comments	Recommendation
Covanta (CVA:nyse)	6/11	\$16.40	\$19.94	Creates energy from waste	Buy up to \$20
Howard Hughes Corp. (HHC:nyse)	10/11	\$40.07	\$94.66	A revived American original	Buy up to \$80
Kennedy Wilson (KW:nyse)	1/12	\$11.22	\$16.43	McMorrow's asset manager	Buy up to \$16
Retail Opportunity Inv. (ROIC:nasdaq)	3/12	\$11.69	\$14.75	The next Pan Pacific	Buy up to \$13
Pebblebrook Hotel Trust (PEB:nyse)	8/12	\$21.99	\$26.86	Latest play of hotel ace, J. Bortz	Buy up to \$24
Beneficial Mutual Bancorp (BNCL:nyse)	10/12	\$9.99	\$8.57	Cash-rich Philadelphia thrift	Buy up to \$10
First Citizens Bancshares (FCNCA:nasdaq)	11/12	\$161.00	\$186.19	Family-controlled bank	Buy up to \$183
Greenlight Re (GLRE:nasdaq)	1/13	\$23.70	\$24.49	Einhorn's reinsurance company	Buy up to \$24
National Western Life Ins. (NWL:nyse)	NEW	NEW	\$186.51	Moody family insurance co.	Buy up to \$195

Note: All stocks have been carefully selected to meet CODE. The acronym sums up C&C's investment standards. C is for cheap, as compared to replacement cost or private market value. O is for owner-operators; we want to invest with people who have skin in the game. D is for disclosures; we want transparent businesses we can understand. E is for excellent financial condition. The recommended price is the closing price on the day the recommendation is available via email.

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